

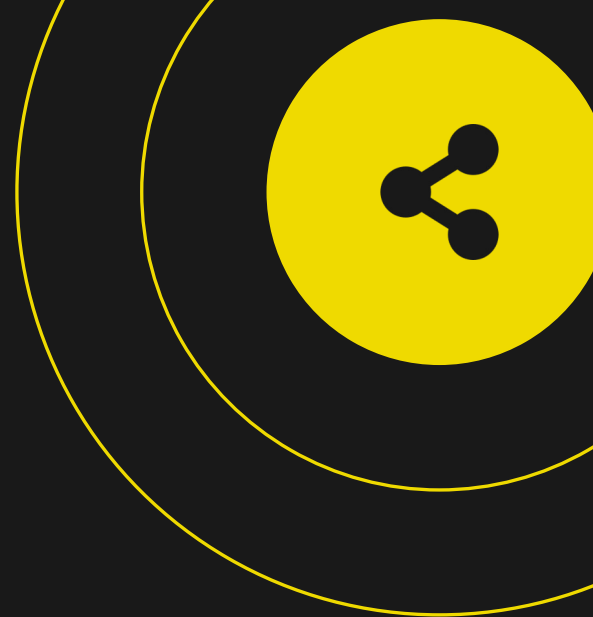
PM CASE STUDY · NEWME · GROWTH

Referrals

Turning GenZ word-of-mouth into an acquisition channel.

The starting point: new user growth leaned on paid channels with rising CAC — every incremental user cost more than the last. My brief as PM: build an organic acquisition engine powered by the users we already had.

Hrithik · Product Manager, NEWME



Why cash, not coins

The design had to resolve a tension: rewards exciting enough to talk about, without draining value out of the platform.



Paid CAC kept climbing

Meta and Google scale with budget. Referral scales with the user base itself.



GenZ shares what's worth talking about

Closed-loop points aren't social currency. Real, withdrawable money is.



Transactional referrals feel like spam

A flat reward gets one share. Competition and status get repeated ones.



But pure cash leaks value

Every rupee withdrawn is acquisition spend that never touches the platform again.

The bet: ₹200 withdrawable cash per successful referral, plus aspirational leaderboard prizes (AirPods, Dyson) to make referring competitive — with guardrails keeping half the value on-platform.

Every rule mapped to a risk or a goal

Referral programs are gamed by default and leak margin by design — so the rules did the defensive work.



A referral succeeds on purchase, not signup

The fraud fight won at the definition level: fake-account farming earns nothing when payout requires a completed purchase. No fraud tooling can substitute for a well-chosen success event.



50% withdrawal cap on earnings

Cash makes the reward exciting; the cap makes it strategic. Half of every payout must be spent on NEWME — so the acquisition program quietly funds repeat purchases. Mirror image of the loyalty program's 50% redemption cap: same instinct, opposite direction.



Leaderboards: piloted as a campaign, scaled as a mechanic

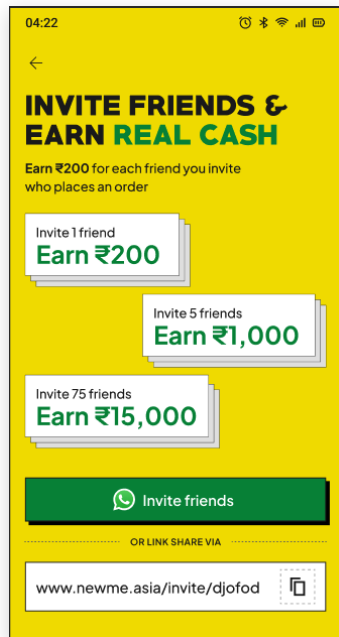
First tested weekly on Friendship Day ('sharing is caring'). It worked — so it graduated into a monthly ritual, turning one-off sharers into repeat competitors.



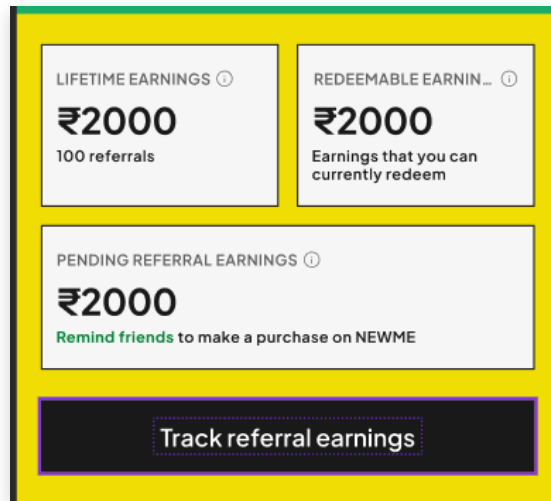
The offer itself was the experiment surface

Tuned referred-user discount depth and added extra benefits on prepaid orders — pulling new users off COD from their very first purchase, the same RTO logic as loyalty.

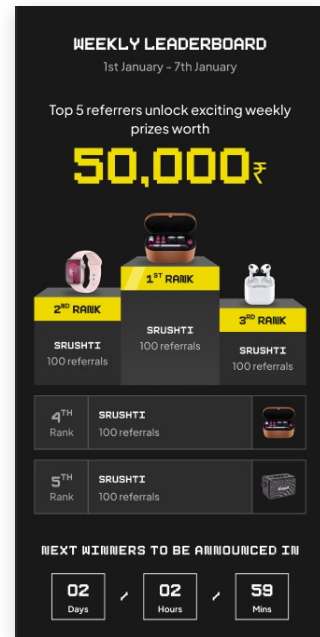
How the decisions showed up in product



The reward worth talking about — real cash, WhatsApp-first sharing, milestones that stack



Success = purchase, visible in the UI — earnings stay pending until the friend actually buys



Weekly leaderboards with ₹50K prize pools — referring as competition, not a chore

What it moved

Measured against new user acquisition — the channel the program was built to create.

12%

of new signups driven
by referral



Acquisition at a fixed price

A referred user costs a known ₹200 + friend offer — while paid CAC keeps inflating.



Payouts that fund repeat GMV

The withdrawal cap keeps half of every reward on-platform as future purchases.



A habit, not a one-off

Monthly leaderboards turned referring into a recurring competition, compounding the channel.

Takeaway: make the reward worth talking about — and win the fraud fight in the definition of success.